

Discount Strategy & Profitability Analysis

Discount

Evaluating the impact of discount rates on business performance

Profit

1.431.729.850

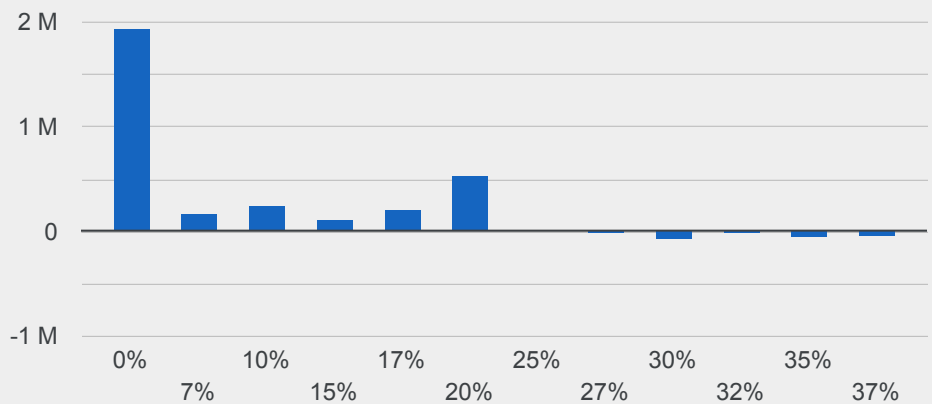
Sales

9.347.947.593

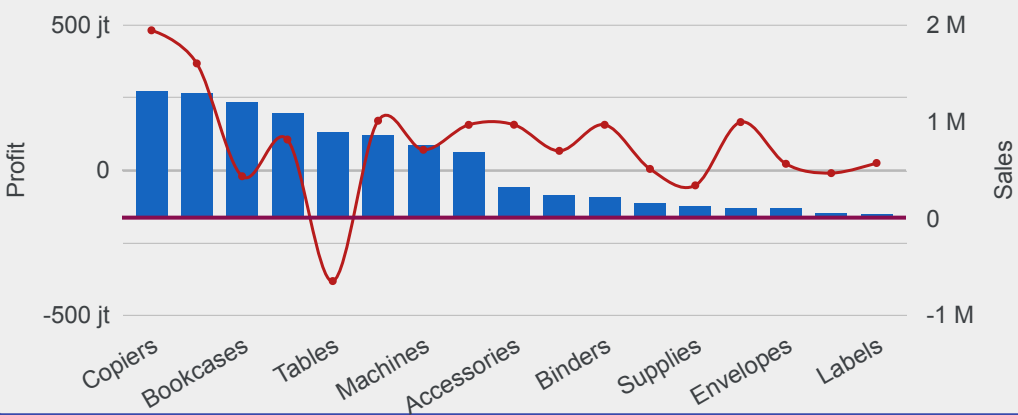
Discount

14,34%

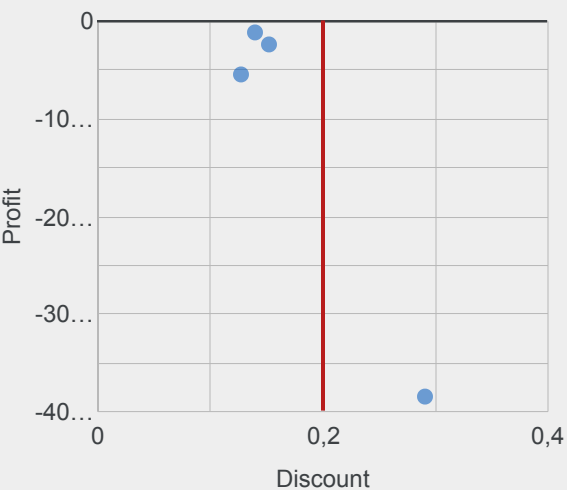
Impact of Discount Rates on Profitability



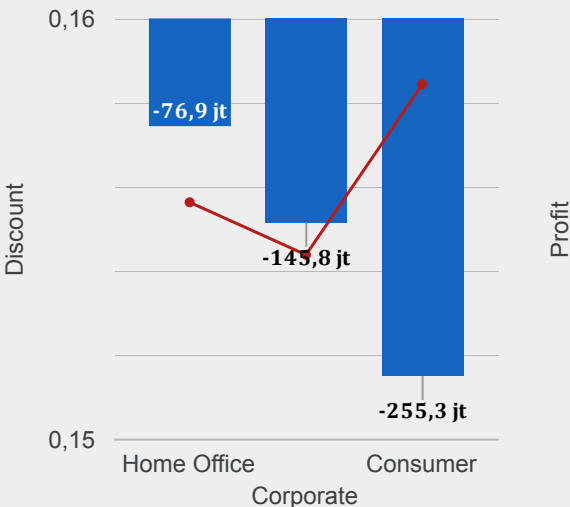
Profitability vs Sales Volume by Sub-Category



Loss-Making Categories Analysis



Profit vs Discount by Segment



Insight & Recommendation

Insight

⚠️ 20% Danger Zone: Discount Inefficiency

Discounts above 20% significantly reduce profitability and offset potential gains.

📊 Product Profitability Anomaly

Tables, Bookcases, Supplies, and Fasteners generate losses despite high sales.

🌐 Systemic Cross-Segment Losses

Losses occur across all customer segments, indicating a structural pricing issue.

Recommendation

🛡️ Tiered Discount Policy Optimization

Limit discounts to a maximum of 20%, with stricter control for low-margin products.

👉 Re-evaluate Vendors & COGS

Negotiate supplier pricing or discontinue low-margin products if necessary.

🔄 New Pricing Strategy for Problematic Categories

Increase base prices or apply bundling strategies to protect profit margins.